

# Skeena Resources

## 2020 drilling programme delivers further high-grade intercepts at Eskay Creek

Skeena Resources (SKE) has announced additional diamond drill core results from their Phase 1 drilling at Eskay Creek, located in the Golden Triangle of British Columbia. Results for the 22 Zone, announced 19<sup>th</sup> and 24<sup>th</sup> November, continue to show exceptionally thick, high-grade intercepts, including 5.29 g/t AuEq over 56.34 metres. Also on 24<sup>th</sup> November, Skeena released assays from a further two holes in the 21A Zone, including an exceptional 36.75 g/t AuEq over 18.32 metres. We believe these positive results bode well for an upcoming Mineral Resource update and PFS, with our risk-adjusted sum-of-the-parts valuation of C\$5.32 per share continuing to imply 131% upside.

### Further strong results from 21A Zone infill drilling

In the 21A Zone, a further two holes (at SK-20-420 and SK-20-421) announced this week revealed intersections of 5.15 g/t Au, 21 g/t Ag (5.44 g/t AuEq) over 31.12 m, and 36.66 g/t Au, 7 g/t Ag (36.75 g/t AuEq) over 18.32 m, respectively. SK-20-421 includes a subinterval of 3.00m with an extremely high 147.5g/t AuEq. Reflecting the nuggetty nature of the orebody, these results highlight the potential for Resource upside in 21A, with extremely strong gold tenor and widths in comparison to historical holes drilled in the vicinity which had grades of ~1.6-2.3g/t AuEq over <12m.

### 22 Zone continues to deliver high silver grades

In 22 Zone, infill results highlighted last week included 2.17 g/t Au, 234 g/t Ag (5.29 g/t AuEq) over 56.34 m (SK-20-379, apparent width) in the core of the 22 Zone, which is corroborated by up-dip intersections of 1.71 g/t Au, 127 g/t Ag (3.41 g/t AuEq) over 55.34 m and 2.10 g/t Au, 183 g/t Ag (4.55 g/t AuEq) over 52.03 m at holes SK-20-382 and SK-20-383, respectively. This was followed by further assays released this week, including 3.99g/t AuEq over 87m, with a subinterval of 1.1m at 33.8g/t AuEq, comprising 1.84g/t Au and 2,400g/t Ag. Skeena described these grades and widths as “robust”, corroborating the 22 Zone Indicated and Inferred Resources included in the 2019 MRE, although the silver grades in particular were highlighted as “impressive”. Skeena interprets the 22 zone to be a synvolcanic feeder fault, perpendicular to the contact mudstones, and suggests that other such faults on the license could be an area of upside.

### C\$5.32/share target implies ~131% upside

Our NPV for Eskay Creek stands at C\$1.7bn (5% WACC), with gold and silver price assumptions of US\$1,950/oz and US\$25/oz, respectively. We apply a target P/NPV multiple of 0.7x to Eskay, then add ~C\$12.9m for Snip and adjust for G&A costs, net cash and the dilutive impact of outstanding options and warrants to derive a SOTP-based target of C\$5.32/share, 131% above yesterday's close at C\$2.30/sh. However, we estimate that full conversion of Inferred material and an uplift in the total Resource to 5Moz at 5g/t could add a further ~C\$1.45/sh to give an “upside scenario” of >C\$6.7/sh, +194% from the current price (although this is arguably a conservative estimate as it assumes these incremental ounces would come at the end of the current mine plan).

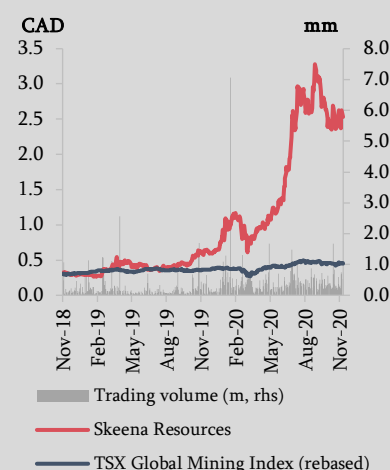
| GICS Sector                   | Materials |
|-------------------------------|-----------|
| Ticker                        | TSX : SKE |
| Market cap (C\$m, 24 Nov 20)  | 493       |
| Share price (C\$, 24 Nov 20)  | 2.30      |
| Target price (C\$, 31 Dec 20) | 5.32      |

## 131%

Upside from current share price to C\$5.32/sh target price

## 86%

H&Pe Eskay Creek IRR, based on current gold & silver prices



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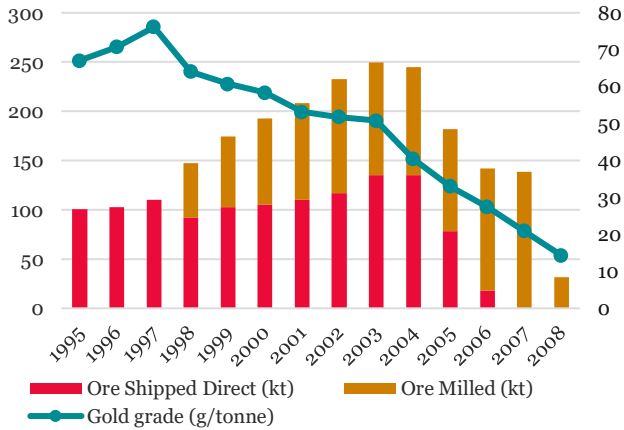
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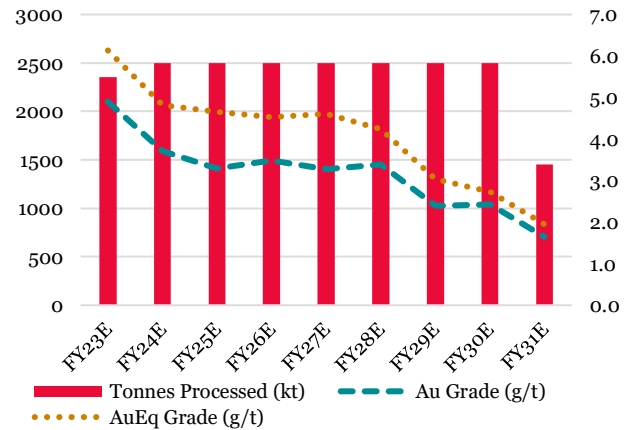
## Eskay Creek – Key Charts

Eskay Creek historical u/g mine enjoyed phenomenal grades: throughput (kt, left axis) vs grade (g/t, right)



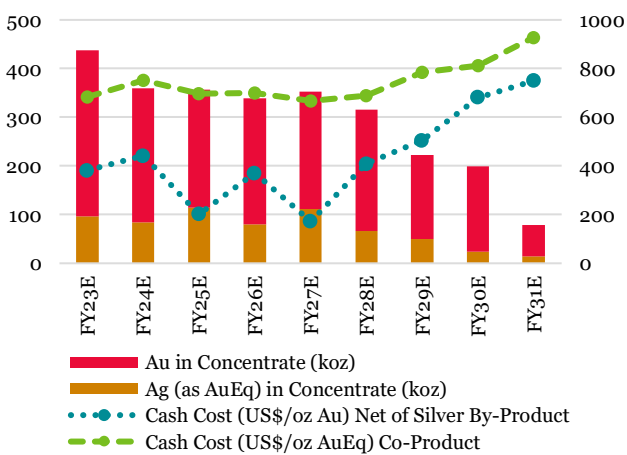
Source: Barrick Gold, Homestake Mining, Company reports.

Skeena's plan is significantly larger at 2.5Mtpa throughput & grades are amongst highest for an open-pit in N America



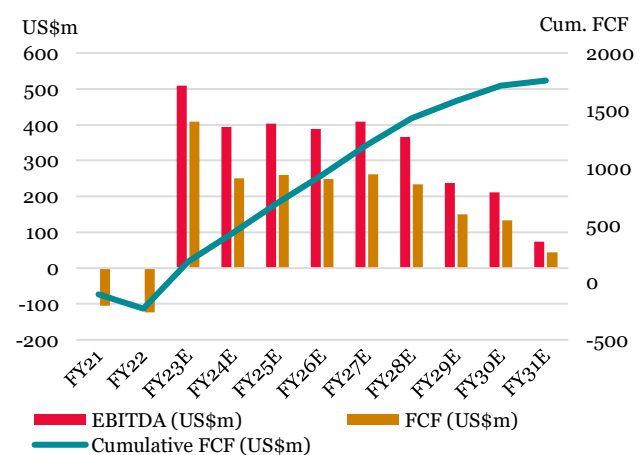
Source: Company reports, H&P estimates

Eskay Creek concentrate contained gold & silver (koz, right) and cash costs (US\$/oz, left)



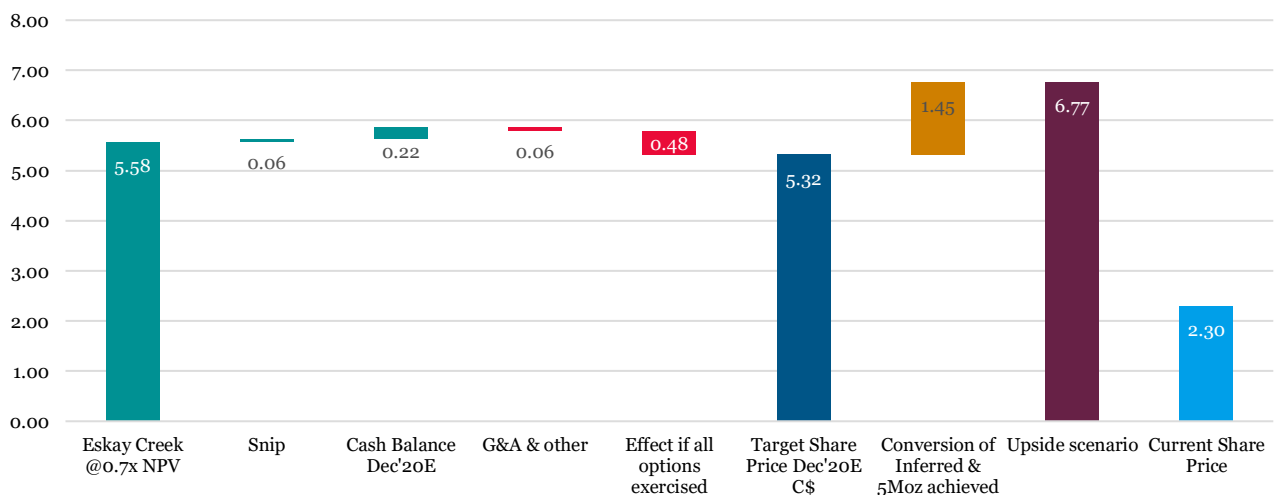
Source: Company reports, H&P estimates

H&Pe Eskay Creek EBITDA & FCF (left axis) & cumulative FCF (right) – strong initial grades drive short payback



Source: Company reports, H&P estimates

Eskay Creek's risked NPV provides huge potential per-share upside for Skeena with Dec'20 TP:C\$5.32



Source: Company reports, H&P estimates

| Skeena - summary of current Resource base |           |            | Grade (g/t) |        |       | Contained metal (koz) |        |       |
|-------------------------------------------|-----------|------------|-------------|--------|-------|-----------------------|--------|-------|
| Project                                   | Category  | Ore tonnes | Au          | Ag     | AuEq  | Au                    | Ag     | AuEq  |
| Eskay Creek - OP                          | Indicated | 12,650     | 4.28        | 109.81 | 5.75  | 1,740                 | 44,660 | 2,340 |
|                                           | Inferred  | 14,420     | 2.26        | 46.85  | 2.89  | 1,050                 | 21,720 | 1,340 |
| Eskay Creek - UG                          | Indicated | 819        | 6.42        | 138.88 | 8.28  | 169                   | 3,657  | 218   |
|                                           | Inferred  | 295        | 7.17        | 82.03  | 8.22  | 68                    | 778    | 78    |
| Snip                                      | Indicated | 539        | 14.00       | 0.00   | 14.00 | 244                   | 0      | 244   |
|                                           | Inferred  | 942        | 13.30       | 0.00   | 13.30 | 402                   | 0      | 402   |
| Total/average                             | Indicated | 14,008     | 4.78        | 107.28 | 6.22  | 2,153                 | 48,317 | 2,802 |
|                                           | Inferred  | 15,657     | 3.02        | 44.69  | 3.62  | 1,520                 | 22,498 | 1,820 |

Source: Skeena Resources

## Financial Statements Summary

| Income statement               |      |        |        |       |       |         |         |
|--------------------------------|------|--------|--------|-------|-------|---------|---------|
| Year end December              |      | 2019   | 2020E  | 2021E | 2022E | 2023E   | 2024E   |
| Revenue                        | C\$m | -      | -      | -     | -     | 815.3   | 674.3   |
| Cost of Sales                  | C\$m | -      | -      | -     | -     | (124.8) | (135.6) |
| Depreciation                   | C\$m | (0.4)  | -      | -     | -     | (37.4)  | (39.7)  |
| Gross profit/(loss)            | C\$m | -      | -      | -     | -     | 690.5   | 538.7   |
| Total operating costs          | C\$m | (17.5) | (49.2) | (2.5) | (2.5) | (52.3)  | (55.5)  |
| Operating profit/(loss)        | C\$m | (17.5) | (49.2) | (2.5) | (2.5) | 638.2   | 483.2   |
| Interest income                | C\$m | 0.1    | 0.4    | 0.4   | 0.2   | 3.6     | 9.3     |
| Finance Costs                  | C\$m | (0.1)  | -      | -     | -     | -       | -       |
| FX gains/losses                | C\$m | (0.0)  | -      | -     | -     | -       | -       |
| Other gains/(losses)           | C\$m | (9.5)  | -      | -     | -     | -       | -       |
| Profit/(Loss) before tax       | C\$m | (27.1) | (48.8) | (2.1) | (2.3) | 641.8   | 492.5   |
| Income tax (expense) / benefit | C\$m | -      | -      | -     | -     | (224.1) | (172.0) |
| Net profit/(loss)              | C\$m | (27.1) | (48.8) | (2.1) | (2.3) | 417.7   | 320.5   |
| EBITDA                         | C\$m | (17.5) | -      | -     | -     | 676.3   | 523.5   |

| Cash flow statement                        |      |        |        |         |         |         |         |
|--------------------------------------------|------|--------|--------|---------|---------|---------|---------|
| Year end December                          |      | 2019   | 2020E  | 2021E   | 2022E   | 2023E   | 2024E   |
| Profit/(loss) before tax                   | C\$m | (27.1) | (48.8) | (2.1)   | (2.3)   | 641.8   | 492.5   |
| Depreciation & amortisation                | C\$m | 0.4    | -      | -       | -       | 37.4    | 39.7    |
| Working capital change (increase)/decrease | C\$m | 4.2    | 0.2    | (0.0)   | (0.1)   | (68.8)  | 11.7    |
| Tax (paid)/received                        | C\$m | -      | -      | -       | -       | (129.8) | (182.5) |
| Other non-cash expenditures                | C\$m | 12.0   | 0.0    | 0.0     | 0.0     | -       | -       |
| CFO                                        | C\$m | (10.5) | (48.5) | (2.1)   | (2.4)   | 480.6   | 361.4   |
| Additions to PPE                           | C\$m | 0.5    | 7.5    | (149.6) | (163.5) | (5.0)   | (10.3)  |
| Other                                      | C\$m | (0.1)  | (5.3)  | (0.3)   | (0.3)   | (0.2)   | (0.1)   |
| CFI                                        | C\$m | 0.4    | 2.2    | (149.9) | (163.8) | (5.2)   | (10.4)  |
| Minimum debt repayments                    | C\$m | -      | -      | -       | -       | -       | -       |
| Other movement in net debt                 | C\$m | -      | -      | -       | -       | -       | -       |
| New equity issued                          | C\$m | 22.1   | 80.9   | -       | -       | -       | -       |
| Other                                      | C\$m | -      | -      | 115.0   | 170.0   | -       | -       |
| CF                                         | C\$m | 22.1   | 80.9   | 115.0   | 170.0   | -       | -       |
| Net change in cash                         | C\$m | 12.0   | 34.6   | (37.0)  | 3.8     | 475.3   | 351.1   |
| FX impact on cash & equivalents            | C\$m | -      | -      | -       | -       | -       | -       |
| Beginning cash & equivalents               | C\$m | 1.1    | 13.1   | 47.7    | 10.7    | 14.5    | 489.8   |
| Ending cash & equivalents                  | C\$m | 13.1   | 47.7   | 10.7    | 14.5    | 489.8   | 840.8   |

| Balance sheet           |      |      |       |       |       |       |       |
|-------------------------|------|------|-------|-------|-------|-------|-------|
| Year end December       |      | 2019 | 2020E | 2021E | 2022E | 2023E | 2024E |
| Cash                    | C\$m | 13.1 | 47.7  | 10.7  | 14.5  | 489.8 | 840.8 |
| Receivables             | C\$m | 2.2  | 2.2   | 2.2   | 2.2   | 67.0  | 55.3  |
| Inventory               | C\$m | -    | -     | -     | -     | 10.3  | 11.1  |
| Other                   | C\$m | 3.7  | 3.4   | 3.5   | 3.5   | 3.5   | 3.5   |
| Current Assets          | C\$m | 19.0 | 53.4  | 16.4  | 20.2  | 570.5 | 910.7 |
| PPE                     | C\$m | 1.9  | (5.6) | 144.0 | 307.6 | 275.2 | 245.8 |
| Other                   | C\$m | 3.5  | 8.5   | 8.5   | 8.5   | 8.5   | 19.0  |
| Non Current Assets      | C\$m | 5.4  | 2.9   | 152.5 | 316.1 | 283.7 | 264.8 |
| Payables                | C\$m | 4.1  | 4.1   | 4.1   | 4.1   | 10.3  | 11.1  |
| Short Term Debt         | C\$m | -    | -     | -     | -     | -     | -     |
| Other                   | C\$m | 4.3  | 4.3   | 4.3   | 4.3   | 4.2   | 4.1   |
| Current Liabilities     | C\$m | 8.4  | 8.4   | 8.4   | 8.4   | 14.5  | 15.2  |
| Long term debt          | C\$m | -    | -     | -     | -     | -     | -     |
| Other                   | C\$m | 4.4  | 4.1   | 3.8   | 3.5   | 97.7  | 97.8  |
| Non Current Liabilities | C\$m | 4.4  | 4.1   | 3.8   | 3.5   | 97.7  | 97.8  |
| Total Equity            | C\$m | 11.6 | 43.8  | 41.7  | 39.4  | 457.0 | 777.6 |
| Other                   | C\$m | -    | -     | 115.0 | 285.0 | 285.0 | 285.0 |

Source: H&P estimates, Company reports.

## Operations and Valuations Summary

| Ratios & other key items |        | 2019    | 2020E   | 2021E   | 2022E   | 2023E  | 2024E  |
|--------------------------|--------|---------|---------|---------|---------|--------|--------|
| Year end December        |        |         |         |         |         |        |        |
| Yr end shares issued     | m      | 107.9   | 180.0   | 213.2   | 213.2   | 213.2  | 213.2  |
| Revenue Growth           | %      | NA      | NA      | NA      | NA      | NA     | -17%   |
| EBITDA margin            | %      | NA      | NA      | NA      | NA      | 83%    | 78%    |
| EBIT margin              | %      | NA      | NA      | NA      | NA      | 78%    | 72%    |
| Net cash/(debt)          | C\$m   | 13.1    | 47.7    | (104.3) | (270.5) | 204.8  | 555.8  |
| Net debt/equity          | %      | -113%   | -109%   | 250%    | 687%    | -45%   | -71%   |
| FCF                      | C\$m   | (13.2)  | 2.9     | (149.5) | (163.7) | 391.9  | 363.1  |
| FCF/share                | C\$/sh | (0.1)   | 0.0     | (0.7)   | (0.8)   | 1.8    | 1.7    |
| Capital employed         | C\$m   | 16.05   | 47.91   | 45.53   | 42.89   | 554.72 | 875.33 |
| EPS                      | C\$m   | (25.09) | (27.09) | (0.97)  | (1.10)  | 195.91 | 150.34 |
| ROCE                     | %      | -109%   | -103%   | -5%     | -6%     | 115%   | 55%    |
| ROE                      | %      | -233%   | -111%   | -5%     | -6%     | 91%    | 41%    |
| EV/EBITDA                | x      | NA      | NA      | NA      | NA      | 0.4    | NA     |
| EV/Sales                 | x      | NA      | NA      | NA      | NA      | 0.4    | NA     |

| Production volumes                       |     | 2019 | 2020E | 2021E | 2022E | 2023E | 2024E |
|------------------------------------------|-----|------|-------|-------|-------|-------|-------|
| Year end December                        |     |      |       |       |       |       |       |
| Gold contained in concentrate            | koz | -    | -     | -     | -     | 341   | 275   |
| Silver contained in concentrate          | koz | -    | -     | -     | -     | 7,507 | 6,610 |
| Gold equivalent contained in concentrate | koz | -    | -     | -     | -     | 437   | 359   |
| Payable gold in concentrate              | koz | -    | -     | -     | -     | 324   | 261   |
| Payable silver in concentrate            | koz | -    | -     | -     | -     | 6,006 | 5,288 |
| Payable gold equivalent in concentrate   | koz | -    | -     | -     | -     | 401   | 329   |

| Gold and Silver Price Assumptions |            | 2019  | 2020E | 2021E | 2022E | 2023E | 2024E |
|-----------------------------------|------------|-------|-------|-------|-------|-------|-------|
| Year end December                 |            |       |       |       |       |       |       |
| Gold Price                        | US\$/oz    | 1,287 | 1,789 | 1,950 | 1,950 | 1,950 | 1,950 |
| Silver Price                      | US\$/tonne | 16    | 16    | 25    | 25    | 25    | 25    |

| Cash Costs              |         | 2019 | 2020E | 2021E | 2022E | 2023E | 2024E |
|-------------------------|---------|------|-------|-------|-------|-------|-------|
| Year end December       |         |      |       |       |       |       |       |
| Cash costs/t Au product | US\$/oz | -    | -     | -     | -     | 381   | 441   |
| Total Cash Cost         | US\$m   | -    | -     | -     | -     | 274   | 247   |
| Cost of sales (P&L)     | C\$m    | -    | -     | -     | -     | (125) | (136) |

| Reserves & Resources (gold equivalent) |     | Eskay Creek | Snip | Total |
|----------------------------------------|-----|-------------|------|-------|
| Reserves: (P,P)                        | koz | -           | -    | -     |
| Resources (M&I)                        | koz | 2,558       | 244  | 2,802 |
| Resources: (Inferred)                  | koz | 1,418       | 402  | 1,820 |

| Market cap, net debt & enterprise value |      | 2019  | 2020E | 2021E   | 2022E   | 2023E | 2024E  |
|-----------------------------------------|------|-------|-------|---------|---------|-------|--------|
| Year end December                       |      |       |       |         |         |       |        |
| Market Cap (Yr end)                     | C\$m | 492.7 | 492.7 | 492.7   | 492.7   | 492.7 | 492.7  |
| Net Cash/(Debt)                         | C\$m | 13.1  | 47.7  | (104.3) | (270.5) | 204.8 | 555.8  |
| EV                                      | C\$m | 479.6 | 445.0 | 597.0   | 763.2   | 287.9 | (63.2) |

| Valuation/ Price Target Derivation - Dec'20E     |                  | Value          | Target Multiple | Target Value   |
|--------------------------------------------------|------------------|----------------|-----------------|----------------|
| Year end December                                |                  |                |                 |                |
| Eskay Creek                                      | C\$m             | 1,706.1        | 0.7             | 1,194.2        |
| Snip                                             | C\$m             | 12.7           | 1.0             | 12.7           |
| Cash Balance at Dec' 20E                         | C\$m             | 47.7           |                 | 47.7           |
| Environmental bond                               | C\$m             | (7.7)          |                 | (7.7)          |
| G&A                                              | C\$m             | (5.8)          |                 | (5.8)          |
| <b>Total Value</b>                               | <b>C\$m</b>      | <b>1,753.0</b> |                 | <b>1,241.2</b> |
| Shares out - undiluted                           | m                | 214.2          |                 | 214.2          |
| <b>NPV / Target Price per share - undiluted</b>  | <b>C\$ cents</b> | <b>818</b>     |                 | <b>579</b>     |
| Cash inflow from options & warrants if exercised | C\$m             | 43.3           |                 | 43.3           |
| Shares issued if options & warrants exercised    | m                | 27.3           |                 | 27.3           |
| <b>NPV / Target Price per share - diluted</b>    | <b>C\$ cents</b> | <b>744</b>     |                 | <b>532</b>     |
| Current share price                              | C\$ cents        | 230.0          |                 | 230.0          |
| Upside/downside from current share price         | %                | 256%           |                 | 131%           |

Source: H&P estimates, Company reports, CapIQ.

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